Practice workbook · Why governments regulate competition and mergers

Why governments promote competition, limit monopoly power, protect consumers and control mergers and takeovers.

5 question parts: 1 worked-example retry and 4 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-22

1. Question 1 · part h · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part h only.

1 When a firm increased its prices, many consumers stopped buying its products.

(a) Which **one** of the following explains the behaviour of these consumers?

(1)

- ☒ **A** Consumers aim to maximise profit
- ☒ **B** Consumers aim to maximise benefits
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers cannot calculate their benefits

A product has an income elasticity of demand (YED) of –0.9

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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1. Question 1 · part h · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part h only.

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(d) State the formula for social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of €37 000 per month and variable costs of €170 per unit. It produces 650 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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1. Question 1 · part h · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part h only.

Figure 1 shows the market for cars.

(g) Using the diagram below, draw the likely effect on the market for cars following a rise in the costs of raw materials. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

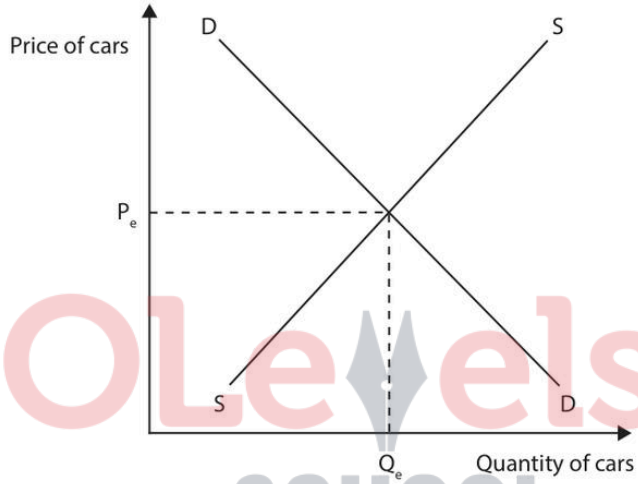


Figure 1

In April 2023, the Competition and Markets Authority (CMA), the competition regulator in the UK, prevented the purchase of Activision by Microsoft. Microsoft already controlled about 60–70% of the market for online video gaming.

(h) Explain **one** reason why the CMA may have made this decision.

(3)

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1. Question 1 · part h · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part h only.

As a result of changes in consumer tastes, the demand for furniture made of wood is expected to increase by about 5% in the next five years. Woodcutters are employed to cut down trees to produce the wood required to make furniture.

(i) With reference to the data above and your knowledge of economics, analyse how an increase in demand for furniture made of wood may affect the demand for woodcutters.

(6)

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5

Turn over ▶

1. Question 1 · part h · 3 marks · Working and answer

Working and answer

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2. Question 4 · part b · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part b only.

4 Veronique owns a shop that makes cakes for special occasions. The cakes sell for an average price of €40 each.

(a) Calculate the quantity of cakes sold by Veronique's shop when total revenue is €3 600. You are advised to show your working.

(2)

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2. Question 4 · part b · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part b only.

German broadband group urges the Vodafone-Liberty deal to be stopped

A business group representing German broadband providers asked regulators to stop the takeover by Vodafone of Liberty Global's German operations, saying the new firm would be too dominant. In 2018, Vodafone agreed to pay $21.8bn for Liberty Global. Arguments against the takeover included that it would delay the work on building a nationwide fibre-optic network and damage competition in the cable TV market.

(Source adapted from: https://uk.reuters.com/article/uk-liberty-global-m-a-vodafone/german-broadband-group-urges-eu-to-block-vodafone-liberty-deal-idUKKCN1NC0Z2)

(b) With reference to the data above and your knowledge of economics, analyse why governments may want to control takeovers.

(6)

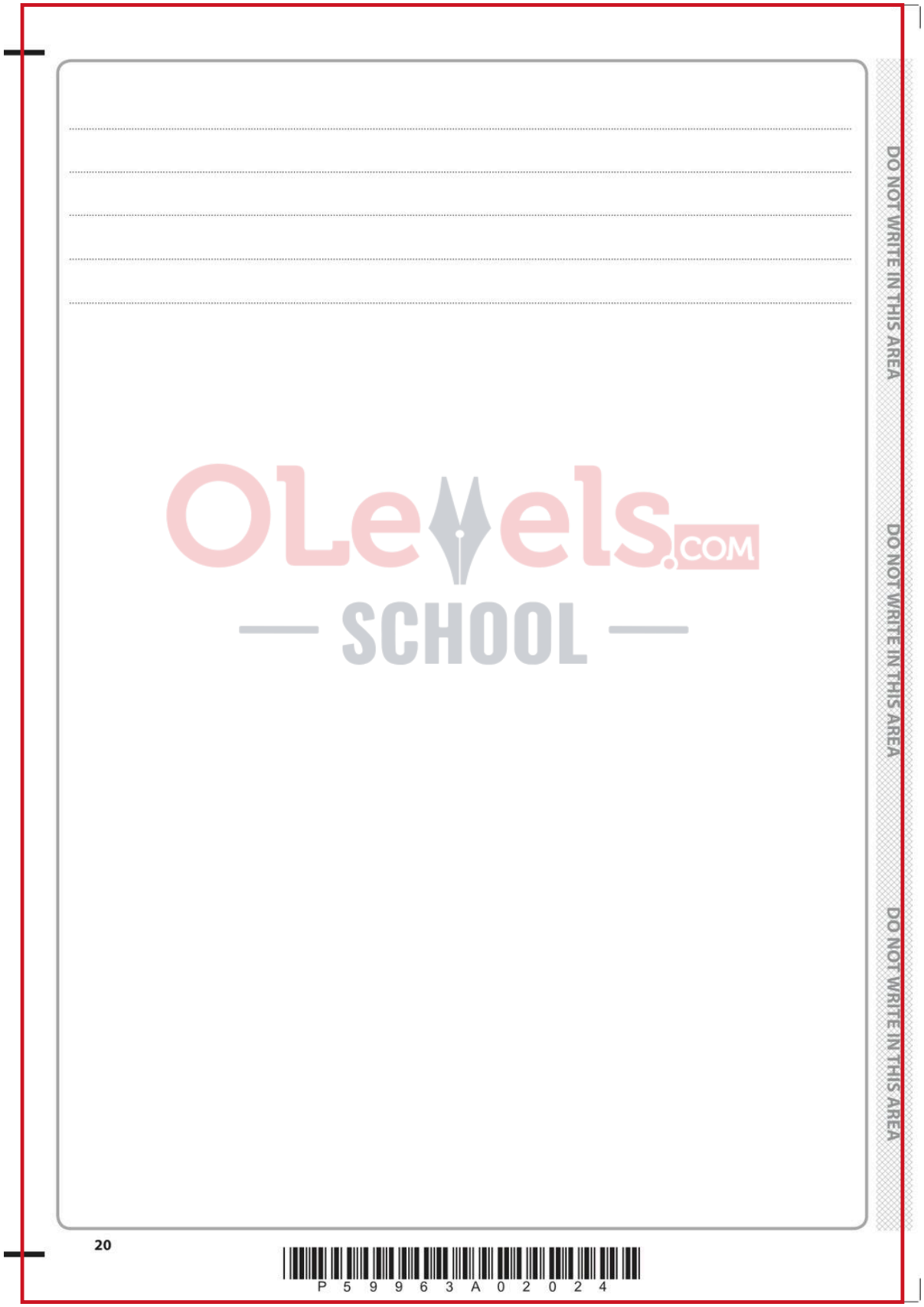
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2. Question 4 · part b · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part b only.



2. Question 4 · part b · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part b only.

Value Added Tax (VAT) is an indirect tax that must be added to the price of most food and household goods. The rate of VAT in South Africa was increased from 14% to 15% on 1st April 2018. Both consumer spending and business confidence fell following this increase but a further rise in VAT is being discussed by the government. VAT is not currently added to the price of fruit, vegetables and bread.

(c) With reference to the data above and your knowledge of economics, evaluate the usefulness of price elasticity of demand (PED) in helping the South African Government to decide whether to increase the rate of VAT.

(12)

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Turn over

2. Question 4 · part b · 6 marks · Working and answer

Working and answer

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3. Question 1 · part h · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part h only.

1 (a) Which **one** of the following is a reason why firms may not always maximise their profit?

(1)

- ☒ **A** They may minimise total costs
- ☒ **B** They may be able to sell at a high price
- ☒ **C** They may have low fixed costs
- ☒ **D** They may complete charitable work

A product has an income elasticity of demand (YED) of 0.7.

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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3. Question 1 · part h · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part h only.

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(d) State the formula for calculating social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of $50 000 per month and variable costs of $250 per unit. It produces 750 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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3. Question 1 · part h · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part h only.

(g) Using the diagram below, draw the likely effects on the market for smartphones following a rise in the cost of raw materials. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

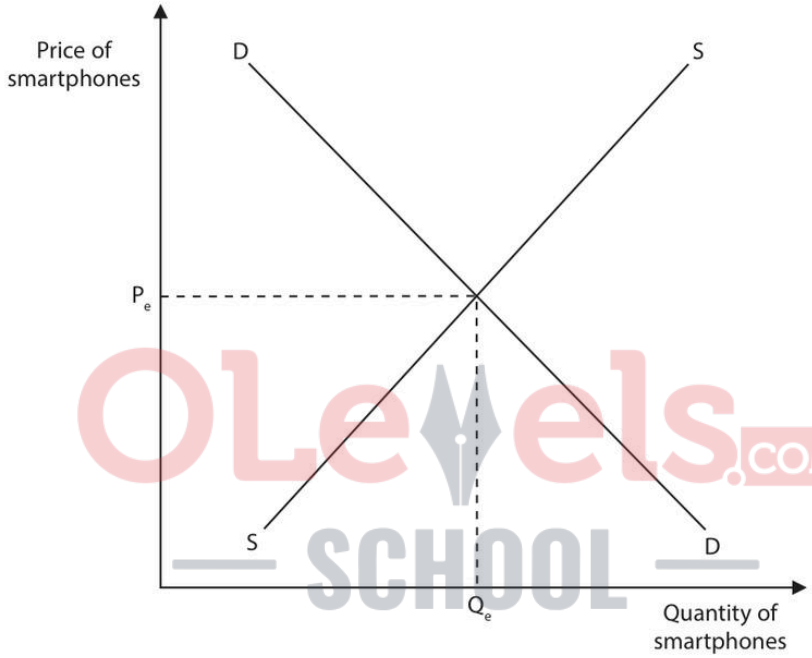


Figure 1

The New Zealand Government is to introduce new legislation to limit the interest rate firms can charge on loans made to customers. The maximum interest rate firms can charge will be 0.8% per day.

(h) Explain **one** reason why the New Zealand Government may be introducing this legislation.

(3)

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3. Question 1 · part h · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part h only.

Cutting Edge is a gardening firm that started trading three years ago. It often turned down work because it did not have a saw powerful enough to cut through larger trees. Once the firm expanded, Cutting Edge was able to justify buying a bigger saw.

(i) With reference to the data above and your knowledge of economics, analyse how Cutting Edge benefitted from technical economies of scale.

(6)

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(Total for Question 1 = 20 marks)

3. Question 1 · part h · 3 marks · Working and answer

Working and answer

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4. Question 1 · part d · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part d only.

1 (a) Which **one** of the following might have caused the movement from PPF_1 to PPF_2 in Figure 1 above?

(1)

- ☒ **A** Negative economic growth
- ☒ **B** Positive economic growth
- ☒ **C** Diseconomies of scale
- ☒ **D** Economies of scale

(b) A firm has total costs of $10 000 and sells each item at a price of $100. It sells 200 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $20 000 profit
- ☒ **B** $10 000 profit
- ☒ **C** $20 000 loss
- ☒ **D** $10 000 loss

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4. Question 1 · part d · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part d only.

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(c) What is meant by the term privatisation?

(2)

(d) State **one** reason why the government regulates competition in the economy.

(1)

(e) Define the term congestion.

(1)

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4. Question 1 · part d · 1 mark · Working and answer

Working and answer

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5. Question 2 · part f · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

2

Market share by sales of firms in a market in Kuwait

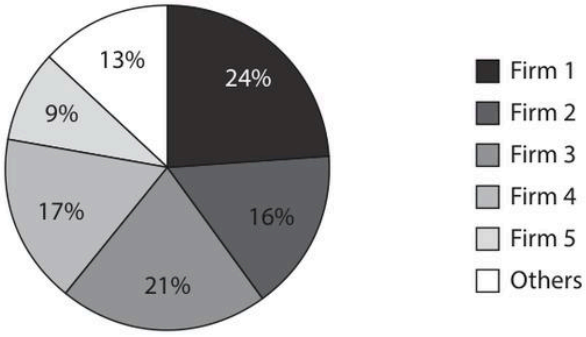


Figure 2

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 2?

(1)

- ☒ **A** Monopoly
- ☒ **B** Oligopoly
- ☒ **C** Public sector
- ☒ **D** Labour

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may not accurately calculate benefits
- ☒ **B** Consumers may find it easy to give up habits
- ☒ **C** Consumers never copy the behaviour of others
- ☒ **D** Rational decisions are always made by consumers

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5. Question 2 · part f · 3 marks

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Further practice · Attempt part f only.

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Figure 3 shows some of the production costs in the month of September for a firm manufacturing rugby souvenirs in France, in preparation for the 2025 Six Nations tournament.

Production costs	Euro (€)
Rent	7 000
Raw materials	3 000
Advertising	1 300
Labour (paid according to output)	18 000

Figure 3

(c) Calculate the **total variable costs** for the firm in the month of September. You are advised to show your working.

(2)

(d) What is meant by the term total revenue?

(2)

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5. Question 2 · part f · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

(e) Describe **one** feature of a monopoly.

(2)

In 2023, the Italian Government introduced legislation to increase the number of taxis available to the public.

(f) Explain **one** reason why the Italian Government may have introduced legislation that makes it easier for new taxi firms to enter the market.

(3)

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5. Question 2 · part f · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

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In April 2023, 2.5 million German transport workers and their employers agreed to a deal that ended a dispute. The dispute had caused major disruption on railways and at airports, due to strike action.

Although Germany's second largest trade union, Verdi, had been arguing for a 10.5% increase in pay, each worker instead received a 5.5% increase.

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of trade unions in increasing wages, such as for the transport workers in Germany.

(9)

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5. Question 2 · part f · 3 marks · Working and answer

Working and answer

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